NIKE

Should Nike launch an AI-powered sub-brand "Nike Velocity" to compete in the fast-moving casual/lifestyle market without diluting the core Nike brand?

Users / Customers

- Target Segments
  - Priority demographic and psychographic segments
  - Lifestyle contexts and use occasions
  - Distinction between existing Nike customers vs. new-to-Nike or light-user segments Nike Velocity could attract
- Discover & Engagement
  - Primary discovery channels for trends and products
  - Preferred shopping formats and frequencies
  - Post-purchase behaviors and engagement
- Strategic Fit with Nike's Long-Term Vision
  - Alignment with Nike's Corporate Strategy
  - Brand Synergies
  - Strategic Risks
- Willingness to Pay & Value Perception
  - Price expectations and trade-offs vs. core Nike and fast-fashion
  - Impact of AI-driven freshness and personalization on perceived value and purchase intent
  - Sensitivity to sustainability and longevity vs. low price and novelty

Competitive Landscape & Strategic Fit

- Market Attractiveness
  - Total Addressable Market (TAM)
  - Segment Dynamics
  - Competitive Intensity
- Consumer Insight & Value Proposition Fit
  - Target Consumer Definition
  - Unmet Needs / Pain Points
- Strategic Fit with Nike's Long-Term Vision
  - Alignment with Nike's Corporate Strategy
  - Brand Synergies
  - Strategic Risks
- Market Timing & Adoption Readiness
  - AI Adoption Trajectory among Consumers
  - Technology Readiness
  - External Influences

Potential AI technologies & Feasibility

- Trend-Mining From Social Media
  - Platform, region, and creator coverage
  - Style-signal extraction (silhouettes, colors, patterns, s...
  - Audience and micro-segment tagging
- AI Design Generation & Nike Guardrails
  - Generative design capability (from trend signal to concept)
  - Alignment with Nike design DNA
  - Quality, comfort, and performance standards
  - IP, ethics, and platform-policy compliance
- AI-Enabled Speed & Decision Latency
  - End-to-end design-to-launch lead time
  - Trend-forecast horizon and accuracy
  - Integration into line planning and drop calendar
  - Learning loop from sell-through and engagement data
- Tech Stack, Data, and Partnerships
  - Data infrastructure and pipelines
  - Core AI capabilities (vision, NLP, recommendation, forecasting)
  - Talent and external partners required
  - Data, model, and design-IP security & privacy
- Consumer-Facing Experience & Perceived Differentiation
  - Nike Velocity AI value proposition
  - Consumer touchpoints showing AI (tags, co-creation, voting, personalized drops)
  - Depth of product and experience personalization
  - Trust, transparency, and brand-perception management
  - AI-Powered Value Proposition

Operational Feasibility & Supply Chain Readiness

- Manufacturing Hardware
  - Production Agility
  - Automation Scaling
  - AI-IoT Machine Interaction
- Data-driven Production
  - Trend Ingestion to Manufacturing
  - Accuracy & Filtering
  - Hyper-Local Insight
- Supplier Integration
  - Real-Time Sync
  - Quality Traceability
  - Reliability: eliminate manual communication delays
- Process Optimization
  - Logistic Optimization
  - Zero-Waste Production
  - Inventory Efficiency

Brand Architecture & Cannibalization Risk

- Brand Separation
  - Visual identity and design language separation
  - Clear use-case positioning (lifestyle vs performance)
  - Impact of "Engineered by Nike" endorsement
- Cannibalization
  - Product overlap with core Nike lifestyle SKUs
  - Price-tier trade-down risk
  - Customer overlap vs new customer acquisition
- Portfolio Coherence
  - Overlap with NikeLab, Jordan, Converse
  - Clarity of Velocity's role in the brand portfolio
  - Governance and control to prevent brand drift
- Cultural Credibility
  - Risk of trend-chasing perception
  - Authenticity of AI-assisted design
  - Sustainability signaling vs fast fashion stigma

Financial Viability & Risk Management

- Incremental Growth
  - New percentage of TAM
  - Net incremental revenue after cannibalization
  - Conversion rates from AI personalization
- Margins
  - Investment and adaptation costs
  - Marketing and advertisements costs
  - Shipping and Launch costs
  - Long term cost of maintenance and scalability of AI
- Possible Derailments/ Pitfalls
  - AI model not working
  - Volatility may lead to excess product sitting around
  - Large amount of capital investment
- Investment Threshold
  - Needs x revenue in 3-5 years
  - Needs greater than 45% gross margin
  - Projected cash flow needs to exceed Nike's hurdle rate